DRN-6367676

The complaint

Mr Y complains that Revolut Ltd won't refund the money he lost when he was the victim of what he feels was a scam.

What happened

In November 2025, Mr Y saw some shoes he was interested in buying listed for sale on an online marketplace. He contacted the seller, agreed a price and them made a payment of £70 from his Revolut account to account details the seller gave him.

Unfortunately, Mr Y says the shoes were never delivered to him and the seller then blocked his communication. He also received delivery of an empty package, which he suspects was from the seller. So Mr Y felt he had been the victim of a scam and reported the payment he had made to Revolut.

Revolut investigated but said it felt this was a civil dispute between Mr Y and the seller, rather than a scam. So it didn't agree to refund the payment he had complained about. Mr Y wasn't satisfied with Revolut's response, so referred a complaint to our service.

One of our investigators looked at the complaint but didn't think Revolut was required to refund the payment. Mr Y disagreed with our investigator, so the complaint has been passed to me.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

In broad terms, the starting position in law is that a firm is expected to process payments and withdrawals that a customer authorises, in accordance with the Payment Services Regulations and the terms and conditions of the customer's account. However, where the customer made the payment as a consequence of the actions of a fraudster, it may sometimes be fair and reasonable for the firm to reimburse the customer even though they authorised the payment.

In 2024, the Payment Systems Regulator required the Faster Payments Scheme operator to introduce rules to require firms to reimburse customers who had been the victims of scams in certain circumstances. Revolut has argued that the payment Mr Y made here isn't covered by these Reimbursement Rules as it should be classified as a civil dispute, rather than a scam. But even if I was satisfied the circumstances here met the definition of a scam, I don't think Revolut would be required to refund the payment Mr Y has complained about.

There are limits on what firms are expected to refund under the rules, one of which is that firms can apply an optional excess of £100 per claim. The rules say that, where a claim satisfies the criteria for reimbursement:

> *"The value of the Reimbursable Amount to be credited to the Victim shall be the full value of all Reimbursable FPS APP scam payments, up to the maximum level of reimbursement and less any claim excess imposed."*

And the PSR has confirmed that:

> *"Sending PSPs may apply an excess up to a maximum of £100 per claim."*

In Mr Y's case, the full value of the reimbursable scam payment comes to £70, and the excess Revolut is entitled to apply is £100. So as the excess is larger than the value of the reimbursable payment, and can be deducted from the reimbursable payment, the value of the reimbursable amount comes to £0.

There is a further consideration when considering whether it is fair to apply the excess, which is that the Reimbursement Rules explain the excess can't be applied if the consumer was vulnerable at the time of making at least one payment falling within the claim – and their vulnerability had a material impact on their ability to protect themselves from the scam.

I've thought carefully about whether Mr Y should be deemed a Vulnerable Consumer under the definition set by the rules, which defines this as

> *"…someone who, due to their personal circumstances, is especially susceptible to harm – particularly when a firm is not acting with appropriate levels of care."*

And I appreciate Mr Y has mentioned to our service that he didn't realise this was a scam and believed the transaction was legitimate. He's also said the situation has caused him distress, as he has had to borrow money to cover bills he had to pay. But this appears to have been a consequence of the scam and doesn't necessarily mean he was in a financially vulnerable position at the time the payment was made – which is what I am considering here.

Overall, I'm not persuaded Mr Y was vulnerable in a way that materially affected his ability to protect himself from the scam. I'm therefore satisfied it would be fair for Revolut to apply the excess to his claim.

And so, even if the circumstances here did meet the definition of a scam from the Reimbursement Rules, I don't think Revolut would be required to reimburse the payment Mr Y has complained about as the value of the payment is less than the excess I think Revolut is entitled to apply.

I've also thought about whether Revolut should reasonably have been able to prevent the scam from occurring. These are some situations where I'd expect a firm to make further enquiries about a payment before deciding whether to process it – such as where there are grounds to suspect it presented a fraud risk. But in this case, I don't think the payment Mr Y has complained about would reasonably have looked particularly suspicious to Revolut. It was a one-off payment that wasn't for an unusually large amount. I therefore consider it reasonable that Revolut simply processed the payment in line with Mr Y's authorised instructions without completing further checks.

Mr Y has also questioned whether Revolut acted appropriately after receiving his scam report. But it gave him the outcome it had reached on his claim within 5 days of his initial report. And, from what I've seen, I don't think anything I would reasonably have expected Revolut to have done would have led to any of Mr Y's funds being recovered from the account they were sent to. So I don't think Revolut missed an opportunity to recover Mr Y's loss here.

I sympathise with the position Mr Y has found himself in. I recognise he feels strongly that he has been the victim of a scam and I appreciate that my decision will come as a disappointment to him. But I can only look at Revolut's responsibilities here and, for the reasons I've explained above, I don't think it should be required to refund the payment he has complained about under the Reimbursement Rules or that anything I would have expected it to have done would have prevented his loss or recovered his funds. So I don't think it would be fair to require it to refund the payment.

My final decision

For the reasons set out above, I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr Y to accept or reject my decision before 26 June 2026.

Alan Millward
Ombudsman